Alphabet

Strength in Cloud and Search Show AI Returns as Capex Moves Higher; Buying the Pullback; Reiterate Overweight & $420 PT

Overweight

GOOG, GOOG US
Price (22 Jul 26):$341.91
▼**Price Target (Dec-27):$420.00**
Prior (Dec-26):$460.00

Overweight

GOOGL, GOOGL US
Price (22 Jul 26):$342.09
▼**Price Target (Dec-27):$420.00**
Prior (Dec-26):$460.00

Internet - Large Cap / Mid & Small Cap

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We would be buyers of Google shares on the pullback. Google FXN revenue accelerated to +23% growth in 2Q & we believe the company continues to show the returns on AI spending with +82% Cloud growth & +17% Search growth. The pushback to results comes from higher capex spending in 2026, which moves from $180B-$190B to $195B-$205B, & management's continued expectation for a significant increase in 2027, with that number likely moving higher coming out of earnings. We now model 2027 capex of $378B, +85% Y/Y. The other debate is around Operating Margin, which came in at 34.0% (vs. JPMe 34.4%), which was somewhat lighter than expected. First, on the capex numbers, we believe Google is realizing accelerated delivery of compute capacity in the form of servers & data centers to service strong customer demand. Next, on operating margins, there is some incremental pressure from 3P capacity bridging deals, TPU hardware sales, Wiz, and of course, accelerating depreciation. We believe legal charges were also elevated in 2Q, and we expect to learn more here in the 10-Q on Thursday. On the model front, Google is confident that it can remain at the frontier and is particularly optimistic about the recent release of Gemini 3.5 Flash Cyber. While Gemini 3.5 Pro remains in testing, Google is also focused on Gemini 4.0, which is currently in development with its most ambitious pre-training run ever. We continue to believe Google is showing returns on AI spending, w/its differentiated full-stack positioning evident as it monetizes across Cloud, Search, Subscriptions, & other parts of the business. **We reiterate our Overweight rating, and we are establishing a December 2027 price target of $420 based on 25x our '28E GAAP EPS of $16.66.**

- **Strong AI-Driven Cloud Upside.** Cloud once again exceeded expectations with revenue accelerating +82% Y/Y & backlog increasing $52B Q/Q to $514B, driven by core GCP, AI Solutions, & AI Infrastructure w/broad-based demand across products, customers, geos, & industries. Momentum remains strong among both new & existing customers, with customer acquisition velocity more than doubling Y/Y, & existing customers expanding usage & exceeding commitments by 50%+. Google's model APIs are now processing ~22B tokens per minute (vs. ~16B in 1Q), with ~90% of Fortune 100 companies using Gemini Enterprise & 9M+ developers leveraging Google's APIs & developer products monthly. Notably, Google recognized revenue from TPU sales for the first time in 2Q, which we estimate to be ~$1B+. We believe Google is selling TPUs directly to customers, rather than licensing, with revenues recognized on a gross basis. TPU revenue should continue to ramp through 2026, with the vast majority of TPU sales in the backlog expected to come through in 2027. Consistent with last quarter, the majority of the $514B backlog is comprised of typical GCP contracts from a broad mix of customers & just over 50% of the backlog is expected to convert to revenue in the next 24 months.
- **Gemini Driving Momentum Across Search & Ads.** Search & Other revenues grew +17% in 2Q with contributions from all major verticals including retail, finance, tech, & more. AI continues to support greater search engagement, with AI mode reaching 1B+ MAUs & driving incremental

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queries. Additionally, Google continues to integrate Gemini across the entire ad stack to enhance ad quality, tools, & formats. AI-driven improvements in understanding intent supported a 20% increase in shopping ad relevance, while AI Max, now used by ~500k advertisers, continues to unlock billions of net-new monetizable queries. Beyond Search, YouTube ad revenue grew +13% Y/Y driven by both DR & Brand spend, including FIFA World Cup related strength.

- **Higher Capex and Capital Requirements.** Google raised its 2026 capex guide to $195B-$205B, an increase of $15B. Importantly, the increase largely reflects the company's efforts to accelerate capacity delivery to serve growing demand, rather than pressure from input pricing. Beyond 2026, Google continues to expect capex to increase significantly in 2027 based on strong demand indicators including L-T deals & existing deal renewals. Despite efforts to ramp capacity faster, the environment remains supply constrained & Google is leaning into 3P capacity to bridge the gap & continue growing its customer base, which should create modest margin pressure N-T. Additionally, we believe TPU sales, along with depreciation, data center operations costs, AI & Cloud hires, marketing to support AI products, & the Wiz acquisition should further pressure the P&L. To fund its massive AI ambitions, we have recently seen Google lean into both the debt & equity markets, raising ~$20B of debt & ~$85B of equity in 2Q. While Google does not expect to return to the equity markets, we believe the company will leverage both internal cash flow as well as incremental debt raises going forward while maintaining a healthy & resilient balance sheet.

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J.P.Morgan

Summary of the Quarter

Figure 1: Alphabet, Inc. Actual vs. J.P. Morgan Estimates

$ in millions, except per share data and where noted otherwise	2Q26 JPMe	2Q26 Actuals	Diff (%/bps)
Google Services			
Google Search & other Revenue	**63,210**	**63,271**	**0.1%**
Y/Y Growth	**16.6%**	**16.8%**	**11 bps**
YouTube ads Revenue	**10,638**	**11,055**	**3.9%**
Y/Y Growth	**8.6%**	**12.9%**	**425 bps**
Google Network Revenue	6,877	7,303	6.2%
Y/Y Growth	-6.5%	-0.7%	579 bps
Google SPD Revenue	13,068	12,911	-1.2%
Google Services Revenue	**93,793**	**94,540**	**0.8%**
Y/Y Growth	13.6%	14.5%	90 bps
Operating Income / (Loss)	**40,519**	**39,544**	**-2.4%**
Margin as % of Gross Revenue	**43.2%**	**41.8%**	**(137) bps**
Google Cloud			
Revenue	**23,290**	**24,768**	**6.3%**
Y/Y Growth	**70.9%**	**81.8%**	**1,085 bps**
Operating Income / (Loss)	**6,987**	**8,814**	**26.2%**
% Margin - Gross	30.0%	35.6%	559 bps
Other Bets			
Revenue	463	382	-17.5%
Operating Income / (Loss)	(1,592)	(1,799)	-13.0%
Reconciling Items			
Hedging gains (losses)	(129)	106	-181.9%
Corporate costs, unallocated	(5,537)	(5,789)	-4.6%
Alphabet Inc.			
Alphabet Gross Revenue	**117,416**	**119,796**	**2.0%**
FXHN Y/Y Growth	***21.1%***	***23.2%***	**213 bps**
Y/Y Growth	*21.8%*	*24.2%*	247 bps
Q/Q Growth	*6.8%*	*9.0%*	217 bps
Alphabet Net Revenue	**101,706**	**103,617**	**1.9%**
Y/Y Growth	*24.5%*	*26.8%*	234 bps
Q/Q Growth	*7.4%*	*9.5%*	202 bps
Alphabet GAAP Operating Income	**40,377**	**40,770**	**1.0%**
as % of Gross Revenue	**34.4%**	**34.0%**	**(36) bps**
Alphabet GAAP EPS	**$2.76**	**$9.11**	**229.7%**
Y/Y Growth	*19.5%*	*294.0%*	27,450 bps

Source: J.P. Morgan estimates, Company data.

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Adjusting Estimates

We are adjusting our estimates, as shown below.

Figure 2: Adjusting J.P. Morgan Estimates

Alphabet, Inc	3Q26 JPMe		4Q26 JPMe		2026 JPMe		2027 JPMe		2028 JPMe	
($ in millions, except where noted)	Old	New	Old	New	Old	New	Old	New	Old	New
Google Services										
Google Search & other Revenue	64,820	64,711	72,010	71,047	260,439	259,428	294,167	289,371	327,996	322,648
FXHN Y/Y Growth	***15.0%***	***15.0%***	***14.0%***	***13.0%***	***15.2%***	***14.7%***	***13.0%***	***12.5%***	***11.5%***	***11.5%***
Y/Y Growth	*14.6%*	*14.4%*	*14.2%*	*12.6%*	*16.0%*	*15.5%*	*13.0%*	*11.5%*	*11.5%*	*11.5%*
Q/Q Growth	*2.5%*	*2.3%*	*11.1%*	*9.8%*						
% chg vs. old		-0.2%		-1.3%		-0.4%		-1.6%		-1.6%
YouTube ads Revenue	11,042	11,228	12,426	12,368	43,990	44,534	47,928	48,129	52,241	52,460
FXHN Y/Y Growth	***8.0%***	***10.0%***	***9.0%***	***9.0%***	***8.2%***	***9.5%***	***9.0%***	***9.0%***	***9.0%***	***9.0%***
Y/Y Growth	*7.6%*	*9.4%*	*9.2%*	*8.7%*	*9.0%*	*10.3%*	*9.0%*	*8.1%*	*9.0%*	*9.0%*
Q/Q Growth	*3.8%*	*1.6%*	*12.5%*	*10.2%*						
% chg vs. old		1.7%		-0.5%		1.2%		0.4%		0.4%
Google Network Revenue	6,961	7,315	7,448	7,725	28,257	29,315	27,115	28,484	26,573	27,914
Y/Y Growth	*-5.3%*	*-0.5%*	*-4.9%*	*-1.3%*	*-5.2%*	*-1.6%*	*-4.0%*	*-2.8%*	*-2.0%*	*-2.0%*
Q/Q Growth	*1.2%*	*0.2%*	*7.0%*	*5.6%*						
% chg vs. old		5.1%		3.7%		3.7%		5.0%		5.0%
Google SPD Revenue	14,876	14,595	15,774	15,430	56,101	55,320	63,367	61,431	70,337	68,188
Y/Y Growth	*15.6%*	*13.4%*	*16.2%*	*13.6%*	*16.8%*	*15.2%*	*13.0%*	*11.0%*	*11.0%*	*11.0%*
Q/Q Growth	*13.8%*	*13.0%*	*6.0%*	*5.7%*						
% chg vs. old		-1.9%		-2.2%		-1.4%		-3.1%		-3.1%
Google Services Revenue	97,699	97,849	107,657	106,571	388,787	388,596	432,577	427,414	477,147	471,211
FXHN Y/Y Growth	***12.6%***	***13.0%***	***12.1%***	***11.5%***	***12.6%***	***12.5%***	***11.3%***	***10.9%***	***10.3%***	***10.2%***
Y/Y Growth	*12.2%*	*12.4%*	*12.3%*	*11.2%*	*13.4%*	*13.4%*	*11.3%*	*10.0%*	*10.3%*	*10.2%*
Q/Q Growth	*4.2%*	*3.5%*	*10.2%*	*8.9%*						
% chg vs. old		0.2%		-1.0%		0.0%		-1.2%		-1.2%
Total TAC as % of Ads Gross Revs	19.4%	19.6%	19.3%	19.4%	19.5%	19.6%	19.2%	19.4%	19.1%	19.3%
bps chg vs. old		14		16		17		22		19
Google Services GAAP OI	42,011	42,564	46,293	45,825	169,411	168,523	190,766	188,917	212,331	210,160
Margin as % of Gross Revenue	43.0%	43.5%	43.0%	43.0%	43.6%	43.4%	44.1%	44.2%	44.5%	44.6%
% chg vs. old		1.3%		-1.0%		-0.5%		-1.0%		-1.0%
Google Services GAAP EPS	$2.87	$2.86	$3.13	$3.08	$10.95	$9.10	$12.51	$11.95	$13.35	$12.38
Y/Y Growth	*31.0%*	*30.7%*	*5.2%*	*3.6%*	*12.8%*	*-6.3%*	*14.3%*	*31.3%*	*6.7%*	*3.6%*
% chg vs. old		-0.2%		-1.5%		-16.9%		-4.5%		-7.2%
Google Cloud										
Google Cloud Revenue	26,732	28,495	32,196	33,562	102,246	106,853	168,632	181,650	252,948	281,557
Y/Y Growth	***76.4%***	***88.0%***	***82.3%***	***90.0%***	***74.2%***	***82.0%***	***64.9%***	***70.0%***	***50.0%***	***55.0%***
Q/Q Growth	*14.8%*	*15.0%*	*20.4%*	*17.8%*						
% chg vs. old		6.6%		4.2%		4.5%		7.7%		11.3%
Google Cloud GAAP OI	8,153	8,833	10,947	11,579	32,685	35,824	59,864	62,669	93,591	104,176
% Margin - Gross	30.5%	31.0%	34.0%	34.5%	32.0%	33.5%	35.5%	34.5%	37.0%	37.0%
% chg vs. old		8.3%		5.8%		9.6%		4.7%		11.3%
Google Cloud GAAP EPS	$0.66	$0.71	$0.87	$0.92	$2.64	$2.89	$4.72	$4.94	$7.32	$8.14
Y/Y Growth	*122.5%*	*141.1%*	*101.3%*	*112.9%*	*132.2%*	*154.5%*	*78.9%*	*70.8%*	*54.9%*	*64.6%*
% chg vs. old		8.4%		5.8%		9.6%		4.6%		11.2%
Other Bets										
Other Bets Revenue	511	423	554	432	1,939	1,648	3,219	1,869	5,030	2,135
% chg vs. old		-17.3%		-21.9%		-15.0%		-41.9%		-57.6%
Other Bets GAAP OI	(1,690)	(1,974)	(1,804)	(4,424)	(7,186)	(10,297)	(6,809)	(10,916)	(6,158)	(11,375)
$ chg vs. old		(284)		(2,620)		(3,111)		(4,107)		(5,217)
Other Bets GAAP EPS	($0.14)	($0.16)	($0.14)	($0.35)	$2.40	$10.15	($0.54)	($0.86)	($0.48)	($0.89)
% chg vs. old		-16.8%		-145.2%		322.7%		-60.3%		-84.5%
Reconciling Items										
Hedging gains (losses)	89	103	(41)	68	(262)	97	44	612	0	0
$ chg vs. old		14		109		359		568		0
Corporate costs, unallocated	(5,658)	(5,855)	(7,483)	(7,382)	(24,069)	(24,417)	(29,875)	(29,629)	(36,756)	(37,745)
$ chg vs. old		(197)		101		(348)		246		(989)
Alphabet, Inc	**3Q26 JPMe**		**4Q26 JPMe**		**2026 JPMe**		**2027 JPMe**		**2028 JPMe**	
($ in millions, except where noted)	Old	New	Old	New	Old	New	Old	New	Old	New
Alphabet Inc.										
Alphabet Gross Revenue	125,032	126,870	140,366	140,632	492,710	497,194	604,471	611,545	735,125	754,903
FXHN Y/Y Growth	***22.3%***	***24.1%***	***23.1%***	***23.7%***	***21.5%***	***22.6%***	***22.7%***	***23.6%***	***21.6%***	***23.6%***
Y/Y Growth	*22.2%*	*24.0%*	*23.3%*	*23.5%*	*22.3%*	*23.4%*	*22.7%*	*23.0%*	*21.6%*	*23.4%*
Q/Q Growth	*6.5%*	*5.9%*	*12.3%*	*10.8%*						
% chg vs. old		1.5%		0.2%		0.9%		1.2%		2.7%
Alphabet Net Revenue	108,946	110,581	122,640	122,906	427,960	431,772	533,532	540,437	657,517	677,262
Y/Y Growth	*24.6%*	*26.4%*	*26.1%*	*26.4%*	*24.8%*	*25.9%*	*24.7%*	*25.2%*	*23.2%*	*25.3%*
Q/Q Growth	*7.1%*	*6.7%*	*12.6%*	*11.1%*						
% chg vs. old		1.5%		0.2%		0.9%		1.3%		3.0%
GAAP Operating Income	42,816	43,569	47,952	45,598	170,841	169,633	213,946	211,041	263,007	265,216
% Margin - Gross	34.2%	34.3%	34.2%	32.4%	34.7%	34.1%	35.4%	34.5%	35.8%	35.1%
% chg vs. old		1.8%		-4.9%		-0.7%		-1.4%		0.8%
GAAP EPS	$2.93	$2.94	$3.26	$3.06	$14.05	$20.16	$14.34	$13.67	$17.31	$16.66
Y/Y Growth	*2.3%*	*2.4%*	*15.7%*	*8.4%*	*30.0%*	*86.5%*	*2.1%*	*-32.2%*	*20.7%*	*21.8%*
% chg vs. old		0.1%		-6.3%		43.5%		-4.7%		-3.8%
Capex	51,749	55,290	58,867	68,827	190,024	204,716	293,443	378,306	348,484	455,797
Y/Y Growth	*116.0%*	*130.8%*	*111.4%*	*147.1%*	*107.8%*	*123.9%*	*54.4%*	*84.8%*	*18.8%*	*20.5%*
% chg vs. old		6.8%		16.9%		7.7%		28.9%		30.8%
FCF	6,659	7,992	804	(10,675)	17,886	1,578	(16,691)	(114,878)	7,815	(102,141)
Y/Y Growth	*-72.8%*	*-67.3%*	*-96.7%*	*-143.5%*	*-75.6%*	*-97.8%*	*-193.3%*	*-7381.9%*	*-146.8%*	*-11.1%*
% chg vs. old		20.0%		-1427.6%		-91.2%		-588.2%		-1407.0%

Source: J.P. Morgan estimates, Company data.

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Model Pages

Figure 3: Alphabet Income Statement

$ in millions, except per share amounts	2024A	3/25A	6/25A	9/25A	12/25A	2025A	3/26A	6/26A	9/26E	12/26E	2026E	2027E	2028E
Gross Revenues	**350,018**	**90,234**	**96,428**	**102,346**	**113,828**	**402,836**	**109,896**	**119,796**	**126,869.9**	**140,632.2**	**497,194.1**	**611,544.5**	**754,902.6**
Traffic Acquisition Costs (TAC)	54,900	13,748	14,705	14,876	16,597	59,926	15,228	16,179	16,289.0	17,726.4	65,422.4	71,107.7	77,641.1
Net Revenues excluding TAC	**295,118**	**76,486**	**81,723**	**87,470**	**97,231**	**342,910**	**94,668**	**103,617**	**110,581.0**	**122,905.8**	**431,771.7**	**540,436.8**	**677,261.6**
Other cost of revenues	91,406	22,613	24,334	26,493	29,169	102,609	26,043	29,764	33,727.2	39,944.4	129,478.6	174,561.1	233,655.2
Gross profit	**203,712**	**53,873**	**57,389**	**60,977**	**68,062**	**240,301**	**68,625**	**73,853**	**76,853.8**	**82,961.4**	**302,293.2**	**365,875.7**	**443,606.3**
Operating expenses			R&D ex. Waymo comp charge		16,472								
Research & development	49,326	13,556	13,808	15,151	18,572	61,087	17,032	18,219	19,241.1	20,771.1	75,263.2	89,172.1	104,975.5
Sales & marketing	27,808	6,172	7,101	7,205	8,215	28,693	7,606	8,403	8,625.3	9,709.6	34,343.9	40,532.8	46,731.0
General & administrative	14,188	3,539	5,209	3,936	5,341	18,025	4,291	6,461	5,418.5	6,882.7	23,053.2	25,130.3	26,684.1
Other 1x item, incl. Impairment charge	0	0	0	3,457	0	3,457	0	0	0.0	0.0	0.0		
Total operating expenses	91,322	23,267	26,118	29,749	32,128	111,262	28,929	33,083	33,284.9	37,363.4	132,660.2	154,835.1	178,390.7
GAAP Operating income	**112,390**	**30,606**	**31,271**	**31,228**	**35,934**	**129,039**	**39,696**	**40,770**	**43,568.9**	**45,598.0**	**169,632.9**	**211,040.6**	**265,215.6**
Non-GAAP Operating income	**112,390**	**30,606**	**31,271**	**31,228**	**35,934**	**129,039**	**39,696**	**40,770**	**43,568.9**	**45,598.0**	**169,632.9**	**211,040.6**	**265,215.6**
JPMe Adjusted Operating income	**135,175**	**36,122**	**37,269**	**41,053**	**43,005**	**157,449**	**46,447**	**48,727**	**51,862.5**	**54,201.4**	**201,237.9**	**247,520.1**	**307,205.8**
Other income, expense and other, net	7,425	11,183	2,662	12,759	3,183	29,787	37,716	97,983	537.3	594.0	136,830.3	(1,807.1)	(7,880.2)
Income before taxes	119,815	41,789	33,933	43,987	39,117	158,826	77,412	138,753	44,106.2	46,192.1	306,463.2	209,233.4	257,335.4
Provision for income taxes	19,697	7,249	5,737	9,008	4,662	26,656	14,834	26,560	7,498.0	7,852.6	56,744.7	35,569.7	43,747.0
Effective tax rate	*16.4%*	*17.3%*	*16.9%*	*20.5%*	*11.9%*	*16.8%*	*19.2%*	*19.1%*	*17.0%*	*17.0%*	*18.5%*	*17.0%*	*17.0%*
GAAP Net Income	**100,118**	**34,540**	**28,196**	**34,979**	**34,455**	**132,170**	**62,578**	**112,193**	**36,608.1**	**38,339.4**	**249,718.5**	**173,663.8**	**213,588.4**
Preferred stock dividends								86	86.0	86.0	258.0	344.0	344.0
GAAP Net Income available to common stockholders	**100,118**	**34,540**	**28,196**	**34,979**	**34,455**	**132,170**	**62,578**	**112,107**	**36,522.1**	**38,253.4**	**249,460.5**	**173,319.8**	**213,244.4**
GAAP EPS - Diluted	**$8.04**	**$2.81**	**$2.31**	**$2.87**	**$2.82**	**$10.81**	**$5.11**	**$9.11**	**$2.94**	**$3.06**	**$20.16**	**$13.67**	**$16.66**
Diluted shares outstanding	12,447	12,291	12,198	12,203	12,228	12,230	12,238	12,309	12,440.0	12,518.3	12,376.3	12,676.0	12,802.8
Alphabet Non-GAAP reconciliation													
Adj. for One-time item	0	0	0	3,457	0	3,457	0.0	0.0	0.0	0.0	0.0	0.0	0.0
Non-GAAP Net Income (loss)	**100,118**	**34,540**	**28,196**	**38,436**	**34,455**	**135,627**	**62,578.0**	**112,107.0**	**36,522.1**	**38,253.4**	**249,460.5**	**173,319.8**	**213,244.4**
Non-GAAP EPS - Diluted	**$8.04**	**$2.81**	**$2.31**	**$3.15**	**$2.82**	**$11.09**	**$5.11**	**$9.11**	**$2.94**	**$3.06**	**$20.16**	**$13.67**	**$16.66**
Non-recurring items:													
Stock compensation expense	22,785	5,516	5,998	6,368	7,071	24,953	6,751.0	7,957.0	8,293.6	8,603.4	31,605.0	36,479.5	41,990.2
One-time items	(2,943)	(10,182)	(1,612)	(8,226)	(1,973)	(21,993)	(36,335.0)	(96,553.0)	1,340.5	1,335.5	(130,212.1)	9,215.3	13,050.7
Tax Effect	(3,208)	809	(742)	380	(608)	(159)	5,669.0	16,959.0	(1,637.8)	(1,689.6)	19,300.6	(7,768.1)	(9,357.0)
Adjusted Net Income (loss)	**116,752**	**30,683**	**31,840**	**33,501**	**38,945**	**134,971**	**38,663.0**	**40,470.0**	**44,518.4**	**46,502.7**	**170,154.0**	**211,246.4**	**258,928.4**
Adj. EPS - Diluted	**$9.38**	**$2.50**	**$2.61**	**$2.75**	**$3.18**	**$11.04**	**$3.16**	**$3.29**	**$3.58**	**$3.71**	**$13.75**	**$16.67**	**$20.22**
Diluted shares outstanding	12,447	12,291	12,198	12,203	12,228	12,230	12,238.0	12,309.0	12,440.0	12,518.3	12,376.3	12,676.0	12,802.8
Adj. EBITDA Reconciliation													
Operating income (adj. for 1x item as noted)	112,390	30,606	31,271	34,685	35,934	132,496	39,696	40,770	43,568.9	45,598.0	169,632.9	211,040.6	265,215.6
Depreciation & amortization	15,311	4,487	4,998	5,611	6,040	21,136	6,482	7,104	8,957.1	10,815.7	33,358.8	59,988.5	101,589.2
Stock compensation expense	22,785	5,516	5,998	6,368	7,071	24,953	6,751	7,957	8,293.6	8,603.4	31,605.0	36,479.5	41,990.2
Adj. EBITDA	**150,486**	**40,609**	**42,267**	**46,664**	**49,045**	**178,585**	**52,929**	**55,831**	**60,819.5**	**65,017.2**	**234,596.7**	**307,508.6**	**408,795.1**
Year/Year Growth	**2024A**	**3/25A**	**6/25A**	**9/25A**	**12/25A**	**2025A**	**3/26A**	**6/26A**	**9/26E**	**12/26E**	**2026E**	**2027E**	**2028E**
Gross Revenues (FXHN)	***14.8%***	***13.8%***	***13.4%***	***14.7%***	***16.7%***	***14.7%***	***19.0%***	***23.2%***	***24.1%***	***23.7%***	***22.6%***	***23.6%***	***23.6%***
Gross Revenues	***13.9%***	***12.0%***	***13.8%***	***15.9%***	***18.0%***	***15.1%***	***21.8%***	***24.2%***	***24.0%***	***23.5%***	***23.4%***	***23.0%***	***23.4%***
Traffic Acquisition Costs (TAC)	*7.9%*	*6.2%*	*9.8%*	*8.4%*	*11.8%*	*9.2%*	*10.8%*	*10.0%*	*9.5%*	*6.8%*	*9.2%*	*8.7%*	*9.2%*
Net Revenues	***15.1%***	***13.2%***	***14.5%***	***17.3%***	***19.1%***	***16.2%***	***23.8%***	***26.8%***	***26.4%***	***26.4%***	***25.9%***	***25.2%***	***25.3%***
Other cost of revenues	*10.9%*	*8.9%*	*10.0%*	*16.4%*	*13.2%*	*12.3%*	*15.2%*	*22.3%*	*27.3%*	*36.9%*	*26.2%*	*34.8%*	*33.9%*
Gross profit	***17.0%***	***15.0%***	***16.6%***	***17.7%***	***21.9%***	***18.0%***	***27.4%***	***28.7%***	***26.0%***	***21.9%***	***25.8%***	***21.0%***	***21.2%***
Research & development	*8.6%*	*13.9%*	*16.4%*	*21.7%*	*41.6%*	*23.8%*	*25.6%*	*31.9%*	*27.0%*	*11.8%*	*23.2%*	*18.5%*	*17.7%*
Sales & marketing	*-0.4%*	*-4.0%*	*4.5%*	*-0.3%*	*11.6%*	*3.2%*	*23.2%*	*18.3%*	*19.7%*	*18.2%*	*19.7%*	*18.0%*	*15.3%*
General & administrative	*-13.6%*	*17.0%*	*64.9%*	*9.4%*	*21.2%*	*27.0%*	*21.2%*	*24.0%*	*37.7%*	*28.9%*	*27.9%*	*9.0%*	*6.2%*
Total operating expenses	***1.7%***	***9.0%***	***19.8%***	***27.8%***	***29.1%***	***21.8%***	***24.3%***	***26.7%***	***11.9%***	***16.3%***	***19.2%***	***16.7%***	***15.2%***
GAAP Operating income	***33.3%***	***20.2%***	***14.0%***	***9.5%***	***16.0%***	***14.8%***	***29.7%***	***30.4%***	***39.5%***	***26.9%***	***31.5%***	***24.4%***	***25.7%***
Non-GAAP Operating income	***33.3%***	***20.2%***	***14.0%***	***9.5%***	***16.0%***	***14.8%***	***29.7%***	***30.4%***	***39.5%***	***26.9%***	***31.5%***	***24.4%***	***25.7%***
JPMe Adjusted Operating income	***26.6%***	***17.5%***	***12.0%***	***19.5%***	***16.9%***	***16.5%***	***28.6%***	***30.7%***	***26.3%***	***26.0%***	***27.8%***	***23.0%***	***24.1%***
Depreciation & amortization	*28.2%*	*31.5%*	*34.8%*	*40.8%*	*43.6%*	*38.0%*	*44.5%*	*42.1%*	*59.6%*	*79.1%*	*57.8%*	*79.8%*	*69.3%*
Stock compensation expense	*1.4%*	*4.8%*	*2.3%*	*8.9%*	*21.7%*	*9.5%*	*22.4%*	*32.7%*	*30.2%*	*21.7%*	*26.7%*	*15.4%*	*15.1%*
EBITDA	*24.9%*	*18.9%*	*14.2%*	*21.7%*	*19.7%*	*18.7%*	*30.3%*	*32.1%*	*30.3%*	*32.6%*	*31.4%*	*31.1%*	*32.9%*
GAAP Net Income (loss)	*35.7%*	*46.0%*	*19.4%*	*33.0%*	*29.8%*	*32.0%*	*81.2%*	*297.6%*	*4.4%*	*11.0%*	*88.7%*	*-30.5%*	*23.0%*
GAAP EPS	***38.7%***	***48.8%***	***22.3%***	***35.3%***	***31.1%***	***34.4%***	***82.0%***	***294.0%***	***2.4%***	***8.4%***	***86.5%***	***-32.2%***	***21.8%***
Non-GAAP Net Income (loss)	*35.7%*	*46.0%*	*19.4%*	*46.1%*	*29.8%*	*35.5%*	*81.2%*	*297.6%*	*-5.0%*	*11.0%*	*83.9%*	*-30.5%*	*23.0%*
Non-GAAP EPS	*38.7%*	*48.8%*	*22.3%*	*48.7%*	*31.1%*	*37.9%*	*82.0%*	*294.0%*	*-6.8%*	*8.4%*	*81.8%*	*-32.2%*	*21.8%*
JPMe Adjusted Net Income (loss)	*22.5%*	*15.5%*	*8.0%*	*13.4%*	*25.0%*	*15.6%*	*26.0%*	*27.1%*	*32.9%*	*19.4%*	*26.1%*	*24.2%*	*22.6%*
JPMe Adjusted EPS	*25.2%*	*17.7%*	*10.7%*	*15.4%*	*26.2%*	*17.7%*	*26.6%*	*26.0%*	*30.4%*	*16.6%*	*24.6%*	*21.2%*	*21.4%*
GAAP expenses as % of Net Revenues													
Other cost of revenues (non-TAC)	31.0%	29.6%	29.8%	30.3%	30.0%	29.9%	27.5%	28.7%	30.5%	32.5%	30.0%	32.3%	34.5%
Research & development	16.7%	17.7%	16.9%	17.3%	19.1%	17.8%	18.0%	17.6%	17.4%	16.9%	17.4%	16.5%	15.5%
Sales & marketing	9.4%	8.1%	8.7%	8.2%	8.4%	8.4%	8.0%	8.1%	7.8%	7.9%	8.0%	7.5%	6.9%
General & administrative	4.8%	4.6%	6.4%	4.5%	5.5%	5.3%	4.5%	6.2%	4.9%	5.6%	5.3%	4.7%	3.9%
Stock compensation expense	7.7%	7.2%	7.3%	7.3%	7.3%	7.3%	7.1%	7.7%	7.5%	7.0%	7.3%	6.8%	6.2%
GAAP expenses as % of Gross Revenues													
Traffic Acquisition Costs (TAC)	15.7%	15.2%	15.2%	14.5%	14.6%	14.9%	13.9%	13.5%	12.8%	12.6%	13.2%	11.6%	10.3%
Other cost of revenues (non-TAC)	26.1%	25.1%	25.2%	25.9%	25.6%	25.5%	23.7%	24.8%	26.6%	28.4%	26.0%	28.5%	31.0%
Research & development	14.1%	15.0%	14.3%	14.8%	16.3%	15.2%	15.5%	15.2%	15.2%	14.8%	15.1%	14.6%	13.9%
Sales & marketing	7.9%	6.8%	7.4%	7.0%	7.2%	7.1%	6.9%	7.0%	6.8%	6.9%	6.9%	6.6%	6.2%
General & administrative	4.1%	3.9%	5.4%	3.8%	4.7%	4.5%	3.9%	5.4%	4.3%	4.9%	4.6%	4.1%	3.5%
Stock compensation expense	6.5%	6.1%	6.2%	6.2%	6.2%	6.2%	6.1%	6.6%	6.5%	6.1%	6.4%	6.0%	5.6%
Margin as % of Gross Revenues													
Gross margin	58.2%	59.7%	59.5%	59.6%	59.8%	59.7%	62.4%	61.6%	60.6%	59.0%	60.8%	59.8%	58.8%
GAAP Operating margin	**32.1%**	**33.9%**	**32.4%**	**30.5%**	**31.6%**	**32.0%**	**36.1%**	**34.0%**	**34.3%**	**32.4%**	**34.1%**	**34.5%**	**35.1%**
Non-GAAP Operating margin	**32.1%**	**33.9%**	**32.4%**	**30.5%**	**31.6%**	**32.0%**	**36.1%**	**34.0%**	**34.3%**	**32.4%**	**34.1%**	**34.5%**	**35.1%**
JPMe Adjusted Operating margin	**38.6%**	**40.0%**	**38.6%**	**40.1%**	**37.8%**	**39.1%**	**42.3%**	**40.7%**	**40.9%**	**38.5%**	**40.5%**	**40.5%**	**40.7%**
Net margin	28.6%	38.3%	29.2%	34.2%	30.3%	32.8%	56.9%	93.6%	28.8%	27.2%	50.2%	28.3%	28.2%
Adj. EBITDA	**43.0%**	**45.0%**	**43.8%**	**45.6%**	**43.1%**	**44.3%**	**48.2%**	**46.6%**	**47.9%**	**46.2%**	**47.2%**	**50.3%**	**54.2%**
Operating Leverage/Flow-through	**70.5%**	**66.6%**	**45.1%**	**59.0%**	**46.4%**	**53.2%**	**62.7%**	**58.0%**	**57.7%**	**59.6%**	**59.4%**	**63.8%**	**70.7%**

Source: J.P. Morgan estimates, Company data.

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Figure 4: Alphabet Revenue Drivers

$ millions except where noted	2024A	3/25A	6/25A	9/25A	12/25A	2025A	3/26A	6/26A	9/26E	12/26E	2026E	2027E	2028E
Gross Revenue Summary													
Google Search & other	**198,084.0**	**50,702**	**54,190**	**56,567**	**63,073**	**224,532.0**	**60,399**	**63,271**	**64,710.6**	**71,047.2**	**259,427.8**	**289,370.8**	**322,648.4**
Y/Y growth	***13.2%***	***9.8%***	***11.7%***	***14.5%***	***16.7%***	***13.4%***	***19.1%***	***16.8%***	***14.4%***	***12.6%***	***15.5%***	***11.5%***	***11.5%***
FXHN Y/Y growth (estimate)	***14.3%***	***12.1%***	***11.0%***	***12.8%***	***15.1%***	***12.8%***	***15.1%***	***15.8%***	***15.0%***	***13.0%***	***14.7%***	***12.5%***	***11.5%***
YouTube ads	**36,147.0**	**8,927**	**9,796**	**10,261**	**11,383**	**40,367.0**	**9,883**	**11,055**	**11,227.9**	**12,368.3**	**44,534.1**	**48,128.8**	**52,460.4**
Y/Y growth	***14.7%***	***10.3%***	***13.1%***	***15.0%***	***8.7%***	***11.7%***	***10.7%***	***12.9%***	***9.4%***	***8.7%***	***10.3%***	***8.1%***	***9.0%***
FXHN Y/Y growth (estimate)	***15.8%***	***12.6%***	***12.3%***	***13.3%***	***7.2%***	***11.2%***	***7.0%***	***12.0%***	***10.0%***	***9.0%***	***9.5%***	***9.0%***	***9.0%***
Google Properties	**234,231.0**	**59,629**	**63,986**	**66,828**	**74,456**	**264,899.0**	**70,282**	**74,326**	**75,938.4**	**83,415.5**	**303,961.9**	**337,499.6**	**375,108.8**
Y/Y growth	*13.4%*	*9.9%*	*11.9%*	*14.6%*	*15.4%*	*13.1%*	*17.9%*	*16.2%*	*13.6%*	*12.0%*	*14.7%*	*11.0%*	*11.1%*
FXHN Y/Y growth (estimate)	***14.5%***	***12.2%***	***11.2%***	***12.9%***	***13.8%***	***12.6%***	***13.9%***	***15.3%***	***14.2%***	***12.4%***	***13.9%***	***12.0%***	***11.1%***
Q/Q growth		*-7.6%*	*7.3%*	*4.4%*	*11.4%*		*-5.6%*	*5.8%*	*2.2%*	*9.8%*			
Google Network Members' properties	**30,359.0**	**7,256**	**7,354**	**7,354**	**7,828**	**29,792.0**	**6,971**	**7,303**	**7,315.4**	**7,725.2**	**29,314.6**	**28,483.7**	**27,914.0**
Y/Y growth	*-3.0%*	*-2.1%*	*-1.2%*	*-2.6%*	*-1.6%*	*-1.9%*	*-3.9%*	*-0.7%*	*-0.5%*	*-1.3%*	*-1.6%*	*-2.8%*	*-2.0%*
FXHN Y/Y growth (estimate)	***-2.1%***	***-0.1%***	***-1.9%***	***-4.1%***	***-3.0%***	***-2.3%***	***-7.1%***	***-1.5%***	***0.0%***	***-1.0%***	***-2.4%***	***-2.0%***	***-2.0%***
Q/Q growth		*-8.8%*	*1.4%*	*0.0%*	*6.4%*		*-10.9%*	*4.8%*	*0.2%*	*5.6%*			
Google advertising	**264,590.0**	**66,885**	**71,340**	**74,182**	**82,284**	**294,691.0**	**77,253**	**81,629**	**83,253.8**	**91,140.7**	**333,276.5**	**365,983.3**	**403,022.8**
Y/Y growth	*11.2%*	*8.5%*	*10.4%*	*12.6%*	*13.6%*	*11.4%*	*15.5%*	*14.4%*	*12.2%*	*10.8%*	*13.1%*	*9.8%*	*10.1%*
FXHN Y/Y growth	***12.3%***	***10.7%***	***9.7%***	***10.9%***	***12.0%***	***10.9%***	***11.6%***	***13.5%***	***12.8%***	***11.1%***	***12.2%***	***10.8%***	***10.1%***
Google subscriptions, platforms, and devices	**40,340.0**	**10,379**	**11,203**	**12,870**	**13,578**	**48,030.0**	**12,384**	**12,911**	**14,594.8**	**15,430.0**	**55,319.8**	**61,430.5**	**68,187.9**
Y/Y growth	*16.3%*	*18.8%*	*20.3%*	*20.8%*	*16.7%*	*19.1%*	*19.3%*	*15.2%*	*13.4%*	*13.6%*	*15.2%*	*11.0%*	*11.0%*
FXHN Y/Y growth (estimate)	***17.4%***	***21.2%***	***19.5%***	***18.9%***	***15.1%***	***18.5%***	***15.3%***	***14.3%***	***14.0%***	***14.0%***	***14.4%***	***12.0%***	***11.0%***
Q/Q growth		*-10.8%*	*7.9%*	*14.9%*	*5.5%*		*-8.8%*	*4.3%*	*13.0%*	*5.7%*			
Google Services total	**304,930.0**	**77,264**	**82,543**	**87,052**	**95,862**	**342,721.0**	**89,637**	**94,540**	**97,848.6**	**106,570.7**	**388,596.3**	**427,413.8**	**471,210.7**
Y/Y growth	*11.9%*	*9.8%*	*11.7%*	*13.8%*	*14.0%*	*12.4%*	*16.0%*	*14.5%*	*12.4%*	*11.2%*	*13.4%*	*10.0%*	*10.2%*
FXHN Y/Y growth	***13.0%***	***12.0%***	***10.9%***	***12.0%***	***12.4%***	***11.9%***	***12.1%***	***13.6%***	***13.0%***	***11.5%***	***12.5%***	***10.9%***	***10.2%***
Google Cloud	**43,229.0**	**12,260**	**13,624**	**15,157**	**17,664**	**58,705.0**	**20,028**	**24,768**	**28,495.2**	**33,561.6**	**106,852.8**	**181,649.7**	**281,557.0**
Y/Y growth	***30.6%***	***28.1%***	***31.7%***	***33.5%***	***47.8%***	***35.8%***	***63.4%***	***81.8%***	***88.0%***	***90.0%***	***82.0%***	***70.0%***	***55.0%***
Q/Q growth		*2.6%*	*11.1%*	*11.3%*	*16.5%*		*13.4%*	*23.7%*	*15.0%*	*17.8%*			
Other Bets	**1,648.0**	**450**	**373**	**344**	**370**	**1,537.0**	**411**	**382**	**422.9**	**432.3**	**1,648.2**	**1,869.2**	**2,134.9**
Y/Y growth	*7.9%*	*-9.1%*	*2.2%*	*-11.3%*	*-7.5%*	*-6.7%*	*-8.7%*	*2.4%*	*22.9%*	*16.8%*	*7.2%*	*13.4%*	*14.2%*
Hedging gains (losses)	**211.0**	**260**	**(112)**	**(207)**	**(68)**	**(127.0)**	**(180)**	**106**	**103.3**	**67.6**	**96.8**	**611.9**	**0.0**
Alphabet total revenues (gross)	**350,018.0**	**90,234**	**96,428**	**102,346**	**113,828**	**402,836.0**	**109,896**	**119,796**	**126,869.9**	**140,632.2**	**497,194.1**	**611,544.5**	**754,902.6**
Y/Y growth	***13.9%***	***12.0%***	***13.8%***	***15.9%***	***18.0%***	***15.1%***	***21.8%***	***24.2%***	***24.0%***	***23.5%***	***23.4%***	***23.0%***	***23.4%***
FXHN Y/Y growth	***14.8%***	***13.8%***	***13.4%***	***14.7%***	***16.7%***	***14.7%***	***19.0%***	***23.2%***	***24.1%***	***23.7%***	***22.6%***	***23.6%***	***23.6%***
Q/Q growth		*-6.5%*	*6.9%*	*6.1%*	*11.2%*		*-3.5%*	*9.0%*	*5.9%*	*10.8%*			
Seasonality		22.4%	23.9%	25.4%	28.3%		22.1%	24.1%	25.5%	28.3%			
Gross Revenue Share by Segment													
Google Search & other	56.6%	56.2%	56.2%	55.3%	55.4%	55.7%	55.0%	52.8%	51.0%	50.5%	52.2%	47.3%	42.7%
YouTube ads	10.3%	9.9%	10.2%	10.0%	10.0%	10.0%	9.0%	9.2%	8.8%	8.8%	9.0%	7.9%	6.9%
Google Network Members' properties	8.7%	8.0%	7.6%	7.2%	6.9%	7.4%	6.3%	6.1%	5.8%	5.5%	5.9%	4.7%	3.7%
Google advertising	**75.6%**	**74.1%**	**74.0%**	**72.5%**	**72.3%**	**73.2%**	**70.3%**	**68.1%**	**65.6%**	**64.8%**	**67.0%**	**59.8%**	**53.4%**
Google subscriptions, platforms, and devices	11.5%	11.5%	11.6%	12.6%	11.9%	11.9%	11.3%	10.8%	11.5%	11.0%	11.1%	10.0%	9.0%
Google Services total	**87.1%**	**85.6%**	**85.6%**	**85.1%**	**84.2%**	**85.1%**	**81.6%**	**78.9%**	**77.1%**	**75.8%**	**78.2%**	**69.9%**	**62.4%**
Google Cloud	**12.4%**	**13.6%**	**14.1%**	**14.8%**	**15.5%**	**14.6%**	**18.2%**	**20.7%**	**22.5%**	**23.9%**	**21.5%**	**29.7%**	**37.3%**
Other Bets	0.5%	0.5%	0.4%	0.3%	0.3%	0.4%	0.4%	0.3%	0.3%	0.3%	0.3%	0.3%	0.3%
Hedging gains (losses)	0.1%	0.3%	-0.1%	-0.2%	-0.1%	0.0%	-0.2%	0.1%	0.1%	0.0%	0.0%	0.1%	0.0%
TAC Analysis													
Total Traffic Acquisition Costs (TAC)	**54,900.0**	**13,748**	**14,705**	**14,876**	**16,597**	**59,926.0**	**15,228**	**16,179**	**16,289.0**	**17,726.4**	**65,422.4**	**71,107.7**	**77,641.1**
Y/Y growth	*7.9%*	*6.2%*	*9.8%*	*8.4%*	*11.8%*	*9.2%*	*10.8%*	*10.0%*	*9.5%*	*6.8%*	*9.2%*	*8.7%*	*9.2%*
TAC as a % of Total Gross Adv. Revenues	**20.7%**	**20.6%**	**20.6%**	**20.1%**	**20.2%**	**20.3%**	**19.7%**	**19.8%**	**19.6%**	**19.4%**	**19.6%**	**19.4%**	**19.3%**
TAC as a % of Total Ads Gross Revs ex. YT	**24.0%**	**23.7%**	**23.9%**	**23.3%**	**23.4%**	**23.6%**	**22.6%**	**22.9%**	**22.6%**	**22.5%**	**22.7%**	**22.4%**	**22.1%**
Net Revenue Summary													
Google Properties - Net Revenues	200,159.4	50,756.2	54,394.4	56,815.6	63,197.5	225,163.6	59,470.6	62,937.2	64,258.2	70,555.9	257,221.9	284,544.7	315,257.5
Y/Y growth	*13.0%*	*9.6%*	*11.1%*	*14.2%*	*14.7%*	*12.5%*	*17.2%*	*15.7%*	*13.1%*	*11.6%*	*14.2%*	*10.6%*	*10.8%*
Q/Q growth		*-7.9%*	*7.2%*	*4.5%*	*11.2%*		*-5.9%*	*5.8%*	*2.1%*	*9.8%*			
Google Network Members' Properties - Net Revenue	9,530.6	2,380.9	2,240.6	2,490.4	2,489.5	9,601.4	2,554.4	2,512.8	2,706.7	2,858.3	10,632.2	10,330.9	10,124.2
Y/Y growth	*-2.9%*	*-1.0%*	*-0.6%*	*5.0%*	*-0.3%*	*0.7%*	*7.3%*	*12.1%*	*8.7%*	*14.8%*	*10.7%*	*-2.8%*	*-2.0%*
Google Advertising - Net Revenues	**209,690.0**	**53,137.0**	**56,635.0**	**59,306.0**	**65,687.0**	**234,765.0**	**62,025.0**	**65,450.0**	**66,964.9**	**73,414.3**	**267,854.1**	**294,875.6**	**325,381.8**
Y/Y growth	*12.2%*	*9.1%*	*10.6%*	*13.8%*	*14.0%*	*12.0%*	*16.7%*	*15.6%*	*12.9%*	*11.8%*	*14.1%*	*10.1%*	*10.3%*
Non-Advertising - Net Revenues	**85,428.0**	**23,349.0**	**25,088.0**	**28,164.0**	**31,544.0**	**108,145.0**	**32,643.0**	**38,167.0**	**43,616.1**	**49,491.5**	**163,917.6**	**245,561.2**	**351,879.8**
Y/Y growth	*22.8%*	*23.7%*	*24.7%*	*25.7%*	*31.4%*	*26.6%*	*39.8%*	*52.1%*	*54.9%*	*56.9%*	*51.6%*	*49.8%*	*43.3%*
Alphabet Net Revenues	**295,118.0**	**76,486.0**	**81,723.0**	**87,470.0**	**97,231.0**	**342,910.0**	**94,668.0**	**103,617.0**	**110,581.0**	**122,905.8**	**431,771.7**	**540,436.8**	**677,261.6**
Y/Y growth	*15.1%*	*13.2%*	*14.5%*	*17.3%*	*19.1%*	*16.2%*	*23.8%*	*26.8%*	*26.4%*	*26.4%*	*25.9%*	*25.2%*	*25.3%*
Q/Q growth		*-6.3%*	*6.8%*	*7.0%*	*11.2%*		*-2.6%*	*9.5%*	*6.7%*	*11.1%*			
Seasonality		22.3%	23.8%	25.5%	28.4%		21.9%	24.0%	25.6%	28.5%			
Net Revenue Share by Segment													
Google Properties as % of Alphabet Net Revenues	67.8%	66.4%	66.6%	65.0%	65.0%	65.7%	62.8%	60.7%	58.1%	57.4%	59.6%	52.7%	46.5%
Google Network Members' Properties as % of Alphabet	3.2%	3.1%	2.7%	2.8%	2.6%	2.8%	2.7%	2.4%	2.4%	2.3%	2.5%	1.9%	1.5%
Google Advertising as % of Alphabet Net Revenues	**71.1%**	**69.5%**	**69.3%**	**67.8%**	**67.6%**	**68.5%**	**65.5%**	**63.2%**	**60.6%**	**59.7%**	**62.0%**	**54.6%**	**48.0%**
Google Other & Other Bets as % of Alphabet Net Reven	**28.9%**	**30.5%**	**30.7%**	**32.2%**	**32.4%**	**31.5%**	**34.5%**	**36.8%**	**39.4%**	**40.3%**	**38.0%**	**45.4%**	**52.0%**

($ millions except where noted)	2024A	3/25A	6/25A	9/25A	12/25A	2025A	3/26A	6/26A	9/26E	12/26E	2026E	2027E	2028E
MONETIZATION													
Google Search & Other													
Paid Clicks Change													
Y/Y growth	5%	2%	4%	7%	10%	6%	13%						
QTD Y/Y growth		2%	3%	4%	6%		13%						
Cost-per-Click Change													
Y/Y growth	7%	7%	8%	7%	6%	7%	5%						
QTD Y/Y growth		7%	8%	7%	7%		5%						

Source: J.P. Morgan estimates, Company data.

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Figure 5: Alphabet Revenue Drivers (Cont'd)

($ millions except where noted)	2024A	3/25A	6/25A	9/25A	12/25A	2025A	3/26A	6/26A	9/26E	12/26E	2026E	2027E	2028E
Geographic Breakdown													
Alphabet total revenues (gross)	**350,018.0**	**90,234**	**96,428**	**102,346**	**113,828**	**402,836.0**	**109,896**	**119,796**	**126,869.9**	**140,632.2**	**497,194.1**	**611,544.5**	**754,902.6**
Y/Y growth	*13.9%*	*12%*	*14%*	*16%*	*18%*	*15.1%*	*22%*	*24%*	*24.0%*	*23.5%*	*23.4%*	*23.0%*	*23.4%*
Y/Y growth (ex-FX & Hedging)	***14.8%***	***14%***	***13%***	***15%***	***17%***	***14.7%***	***19%***	***23%***	***24.1%***	***23.7%***	***22.6%***	***23.6%***	***23.6%***
Q/Q growth		*-6%*	*7%*	*6%*	*11%*		*-3%*	*9%*	*5.9%*	*10.8%*			
Geographic Breakdown													
United States	**170,447.0**	**43,964**	**46,063**	**48,758**	**55,444**	**194,229.0**	**53,975**	**60,846**	**65,482.0**	**73,796.0**	**254,099.0**	**335,156.5**	**439,725.4**
Y/Y growth	***16.5%***	***13%***	***12%***	***13%***	***17%***	***14.0%***	***23%***	***32%***	***34.3%***	***33.1%***	***30.8%***	***31.9%***	***31.2%***
Q/Q growth		*-7%*	*5%*	*6%*	*14%*		*-3%*	*13%*	*7.6%*	*12.7%*			
U.S. revenues as % of Gross Revenues	48.7%	49%	48%	48%	49%	48.2%	49%	51%	51.6%	52.5%	51.1%	54.8%	58.2%
International	**179,360.0**	**46,010**	**50,477**	**53,795**	**58,452**	**208,734.0**	**56,101**	**58,844**	**61,284.7**	**66,768.7**	**242,998.3**	**275,776.1**	**315,177.3**
Y/Y growth	*11.5%*	*10%*	*16%*	*19%*	*19%*	*16.4%*	*22%*	*17%*	*13.9%*	*14.2%*	*16.4%*	*13.5%*	*14.3%*
FXHN Y/Y growth	*13.3%*	*14%*	*15%*	*16%*	*16%*	*15.5%*	*15%*	*15%*	*14.9%*	*14.8%*	*15.0%*	*14.7%*	*14.3%*
Q/Q growth		*-6%*	*10%*	*7%*	*9%*		*-4%*	*5%*	*4.1%*	*8.9%*			
International revenues as % of Gross Revenues	51.2%	51%	52%	53%	51%	51.8%	51%	49%	48.3%	47.5%	48.9%	45.1%	41.8%
Hedging Gains (Losses)	**211.0**	**260.0**	**(112.0)**	**(207.0)**	**(68.0)**	**(127.0)**	**(180.0)**	**106.0**	**103.3**	**67.6**	**96.8**	**611.9**	**0.0**
Internation Breakdown (excl. Hedge post-1Q17 change)													
EMEA	**102,127.0**	**25,923**	**28,262**	**29,911**	**33,056**	**117,152.0**	**31,468**	**32,501**	**33,099.4**	**36,684.3**	**133,752.6**	**147,645.2**	**164,624.4**
Y/Y growth	*12.2%*	*9%*	*14%*	*17%*	*17%*	*14.7%*	*21%*	*15%*	*10.7%*	*11.0%*	*14.2%*	*10.4%*	*11.5%*
FXHN Y/Y growth	***12.1%***	***12%***	***11%***	***12%***	***12%***	***12.0%***	***12%***	***12%***	***12.0%***	***12.0%***	***12.0%***	***11.8%***	***11.5%***
Q/Q growth		*-8%*	*9%*	*6%*	*11%*		*-5%*	*3%*	*1.8%*	*10.8%*			
EMEA as a % of Gross Revenues	29.2%	29%	29%	29%	29%	29.1%	29%	27%	26.1%	26.1%	26.9%	24.1%	21.8%
APAC	**56,815.0**	**14,854**	**16,480**	**17,819**	**18,527**	**67,680.0**	**18,288**	**19,317**	**20,965.5**	**21,897.7**	**80,468.2**	**94,875.8**	**112,143.2**
Y/Y growth	*10.3%*	*12%*	*19%*	*22%*	*22%*	*19.1%*	*23%*	*17%*	*17.7%*	*18.2%*	*18.9%*	*17.9%*	*18.2%*
FXHN Y/Y growth	***12.9%***	***15%***	***18%***	***22%***	***23%***	***19.7%***	***22%***	***19%***	***19.0%***	***19.0%***	***19.8%***	***19.2%***	***18.2%***
Q/Q growth		*-2%*	*11%*	*8%*	*4%*		*-1%*	*6%*	*8.5%*	*4.4%*			
APAC as a % of Gross Revenues	16.2%	16%	17%	17%	16%	16.8%	17%	16%	16.5%	15.6%	16.2%	15.5%	14.9%
Other Americas (Canada and LatAm)	**20,418.0**	**5,233**	**5,735**	**6,065**	**6,869**	**23,902.0**	**6,345**	**7,026**	**7,219.8**	**8,186.7**	**28,777.4**	**33,255.1**	**38,409.7**
Y/Y growth	*11.5%*	*12%*	*16%*	*19%*	*20%*	*17.1%*	*21%*	*23%*	*19.0%*	*19.2%*	*20.4%*	*15.6%*	*15.5%*
FXHN Y/Y growth	***20.2%***	***23%***	***23%***	***20%***	***19%***	***21.1%***	***14%***	***17%***	***17.0%***	***17.0%***	***16.5%***	***16.0%***	***15.5%***
Q/Q growth		*-9%*	*10%*	*6%*	*13%*		*-8%*	*11%*	*2.8%*	*13.4%*			
Other Americas as a % of Gross Revenues	5.8%	6%	6%	6%	6%	5.9%	6%	6%	5.7%	5.8%	5.8%	5.4%	5.1%
Foreign Exchange Impact on Gross Revenue													
Total Gross Revenue	**350,018.0**	**90,234**	**96,428**	**102,346**	**113,828**	**402,836.0**	**109,896**	**119,796**	**126,869.9**	**140,632.2**	**497,194.1**	**611,544.5**	**754,902.6**
Y/Y growth	***13.9%***	***12%***	***14%***	***16%***	***18%***	***15.1%***	***22%***	***24%***	***24.0%***	***23.5%***	***23.4%***	***23.0%***	***23.4%***
Q/Q growth		***-6%***	***7%***	***6%***	***11%***		***-3%***	***9%***	***5.9%***	***10.8%***			
Y/Y Foreign Exchange Impact	(2,939.0)	(1,605)	543	1,339	1,331	1,608.0	3,005	740	(516.3)	(337.9)	2,890.8	(3,059.3)	-
	-7%	-16%	-21%	-15%	-5%	-8%	-6%	14%	-20%	-20%	3%	-20%	-20%
Cash Flow Hedging Impact	211.0	260	(112)	(207)	(68)	(127.0)	(180)	106	103.3	67.6	96.8	611.9	-
FXHN Gross Revs. (based on year ago period)	**352,746.0**	**91,579**	**95,997**	**101,214**	**112,565**	**401,355.0**	**107,071**	**118,950**	**127,283.0**	**140,902.5**	**494,206.5**	**614,603.8**	**754,902.6**
Y/Y growth (ex-FX & Hedging)	***14.8%***	***14%***	***13%***	***15%***	***17%***	***14.7%***	***19%***	***23%***	***24.1%***	***23.7%***	***22.6%***	***23.6%***	***23.6%***
BPS of Y/Y growth impacted by FX & Hedging	(97.6)	(177.2)	37.2	126.0	128.5	35.4	278.8	102.0	(15.3)	(16.4)	78.0	(63.9)	(12.4)
FX & Hedging Neutral Gross Revs. (based on last quarter)		**90,995**	**94,919**	**101,635**	**114,153**		**109,426**	**120,325**	**127,907.6**	**140,632.2**			
Q/Q growth (ex-FX & Hedging)		***-6%***	***5%***	***5%***	***12%***		***-4%***	***9%***	***6.9%***	***10.9%***			
BPS of Q/Q growth impacted by FX & Hedging		(80.8)	136.8	86.0	(31.8)		47.0	(30.2)	(96.1)	(9.0)			

$ millions except where noted	2024A	3/25A	6/25A	9/25A	12/25A	2025A	3/26A	6/26A	9/26E	12/26E	2026E	2027E	2028E
Foreign Exchange Impact on EMEA Gross Revenue (excl. Hedging)													
Total Gross EMEA Revenue	**102,127.0**	**25,923**	**28,262**	**29,911**	**33,056**	**117,152.0**	**31,468**	**32,501**	**33,099.4**	**36,684.3**	**133,752.6**	**147,645.2**	**164,624.4**
Y/Y growth	***12.2%***	***9%***	***14%***	***17%***	***17%***	***14.7%***	***21%***	***15%***	***10.7%***	***11.0%***	***14.2%***	***10.4%***	***11.5%***
Q/Q growth		***-8%***	***9%***	***6%***	***11%***		***-5%***	***3%***	***1.8%***	***10.8%***			
Y/Y Foreign Exchange Impact	38.0	(724)	780	1,261	1,438	2,755.0	2,515	794	(401.0)	(338.4)	2,569.6	(1,890.3)	-
FXHN Gross Revs. (based on year ago period)	**102,089**	**26,647**	**27,482**	**28,650**	**31,618**	**114,397.0**	**28,953**	**31,707**	**33,500.3**	**37,022.7**	**131,183.0**	**149,535.5**	**164,624.4**
Y/Y growth (excl. FX & Hedging)	***12.1%***	***12%***	***11%***	***12%***	***12%***	***12.0%***	***12%***	***12%***	***12.0%***	***12.0%***	***12.0%***	***11.8%***	***11.5%***
BPS of Y/Y growth impacted by FX & Hedging	4.2	(304.4)	316.0	495.1	510.2	269.8	970.2	280.9	(134.0)	(102.4)	219.3	(141.3)	(0.0)
Y/Y growth in FX	*0.0%*	*-2.7%*	*2.8%*	*4.4%*	*4.5%*	*2.4%*	*8.7%*	*2.5%*	*-1.2%*	*-0.9%*	*2.0%*	*-1.3%*	*0.0%*
Foreign Exchange Impact on APAC Gross Revenue (excl. Hedging)													
Total Gross APAC Revenue	**56,815.0**	**14,854**	**16,480**	**17,819**	**18,527**	**67,680.0**	**18,288**	**19,317**	**20,965.5**	**21,897.7**	**80,468.2**	**94,875.8**	**112,143.2**
Y/Y growth	***10.3%***	***12%***	***19%***	***22%***	***22%***	***19.1%***	***23%***	***17%***	***17.7%***	***18.2%***	***18.9%***	***17.9%***	***18.2%***
Q/Q growth		***-2%***	***11%***	***8%***	***4%***		***-1%***	***6%***	***8.5%***	***4.4%***			
Y/Y Foreign Exchange Impact	(1,369.0)	(381)	115	128	(176)	(314.0)	134	(351)	(239.1)	(149.4)	(605.5)	(1,042.4)	-
FXHN Gross Revs. (based on year ago period)	**58,184**	**15,235**	**16,365**	**17,691**	**18,703**	**67,994.0**	**18,154**	**19,668**	**21,204.6**	**22,047.1**	**81,073.7**	**95,918.1**	**112,143.2**
Y/Y growth (excl. FX & Hedging)	***12.9%***	***15%***	***18%***	***22%***	***23%***	***19.7%***	***22%***	***19%***	***19.0%***	***19.0%***	***19.8%***	***19.2%***	***18.2%***
BPS of Y/Y growth impacted by FX & Hedging	(265.8)	(286.7)	83.2	88.0	(116.1)	(55.3)	90.2	(213.0)	(134.2)		(89.5)	(129.5)	(0.0)
Y/Y growth in FX	*-2.4%*	*-2.5%*	*0.7%*	*0.7%*	*-0.9%*	*-0.5%*	*0.7%*	*-1.8%*	*-1.1%*	*-0.7%*	*-0.7%*	*-1.1%*	*0.0%*
Foreign Exchange Impact on Other Americas Gross Revenue (excl. Hedging)													
Total Gross Other Americas Revenue	**20,418.0**	**5,233.0**	**5,735.0**	**6,065.0**	**6,869.0**	**23,902.0**	**6,345.0**	**7,026.0**	**7,219.8**	**8,186.7**	**28,777.4**	**33,255.1**	**38,409.7**
Y/Y growth	***11.5%***	***12%***	***16%***	***19%***	***20%***	***17.1%***	***21%***	***23%***	***19.0%***	***19.2%***	***20.4%***	***15.6%***	***15.5%***
Q/Q growth		***-9%***	***10%***	***6%***	***13%***		***-8%***	***11%***	***2.8%***	***13.4%***			
Y/Y Foreign Exchange Impact	(1,608.0)	(500.0)	(352.0)	(50.0)	69.0	(833.0)	356.0	297.0	123.7	149.9	926.7	(126.7)	-
FXHN Gross Revs. (based on year ago period)	**22,026**	**5,733**	**6,087**	**6,115**	**6,800**	**24,735.0**	**5,989**	**6,729**	**7,096.1**	**8,036.7**	**27,850.8**	**33,381.8**	**38,409.7**
Y/Y growth (excl. FX & Hedging)	***20.2%***	***23%***	***23%***	***20%***	***19%***	***21.1%***	***14%***	***17%***	***17.0%***	***17.0%***	***16.5%***	***16.0%***	***15.5%***
BPS of Y/Y growth impacted by FX & Hedging	(877.7)	(1,074.6)	(712.8)	(98.2)	120.3	(408.0)	680.3	517.9	204.0	218.3	387.7	(44.0)	0.0
Y/Y growth in FX	*-7.3%*	*-8.7%*	*-5.8%*		*1.0%*	*-3.4%*	*5.9%*	*4.4%*	*1.7%*	*1.9%*	*3.3%*	*-0.4%*	*0.0%*
Headcount													
Ending Full-time Headcount (ex-Motorola)	183,323	185,719	187,103	190,167	190,820	190,820	194,668	198,933	201,933	202,933	202,933	210,036	216,337
Y/Y growth	*0.4%*	*2.7%*	*4.2%*	*4.9%*	*4.1%*	*4.1%*	*4.8%*	*6.3%*	*6.2%*	*6.3%*	*6.3%*	*3.5%*	*3.0%*
Q/Q growth		*1.3%*	*0.7%*	*1.6%*	*0.3%*		*2.0%*	*2.2%*	*1.5%*	*0.5%*			
Absolute Sequential Change in Headcount	821	2,396	1,384	3,064	653	7,497	3,848	4,265	3,000	1,000	12,113	7,103	6,301

Source: J.P. Morgan estimates, Company data.

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Figure 6: Alphabet Segment Reporting

$ in millions, except per share amounts	2024A	3/25A	6/25A	9/25A	12/25A	2025A	3/26A	6/26A	9/26E	12/26E	2026E	2027E	2028E
ALPHABET SEGMENT SUMMARY													
Revenues:													
Google Services	304,930	77,264	82,543	87,052	95,862	342,721	89,637	94,540	97,849	106,571	388,596	427,414	471,211
Google Cloud	43,229	12,260	13,624	15,157	17,664	58,705	20,028	24,768	28,495	33,562	106,853	181,650	281,557
Other Bets	1,648	450	373	344	370	1,537	411	382	423	432	1,648	1,869	2,135
Hedging gains (losses)	211	260	(112)	(207)	(68)	(127)	(180)	106	103	68	97	612	0
Total Revenues	**350,018**	**90,234**	**96,428**	**102,346**	**113,828**	**402,836**	**109,896**	**119,796**	**126,870**	**140,632**	**497,194**	**611,545**	**754,903**
Total Revenues ex-hedge	349,807	89,974	96,540	102,553	113,896	402,963	110,076	119,690	126,767	140,565	497,097	610,933	754,903
GAAP Operating Income (Loss):													
Google Services	121,263	32,682	33,063	33,527	40,132	139,404	40,589	39,544	42,564	45,825	168,523	188,917	210,160
Google Cloud	6,112	2,177	2,826	3,594	5,313	13,910	6,598	8,814	8,833	11,579	35,824	62,669	104,176
Other Bets	(4,444)	(1,226)	(1,246)	(1,426)	(3,617)	(7,515)	(2,100)	(1,799)	(1,974)	(4,424)	(10,297)	(10,916)	(11,375)
Corporate costs, unallocated	(10,541)	(3,027)	(3,372)	(4,467)	(5,894)	(16,760)	(5,391)	(5,789)	(5,855)	(7,382)	(24,417)	(29,629)	(37,745)
Total Income from Operations	**112,390**	**30,606**	**31,271**	**31,228**	**35,934**	**129,039**	**39,696**	**40,770**	**43,569**	**45,598**	**169,633**	**211,041**	**265,216**
Margins:													
Google Services	39.8%	42.3%	40.1%	38.5%	41.9%	40.7%	45.3%	41.8%	43.5%	43.0%	43.4%	44.2%	44.6%
Google Cloud	14.1%	17.8%	20.7%	23.7%	30.1%	23.7%	32.9%	35.6%	31.0%	34.5%	33.5%	34.5%	37.0%
Other Bets	-269.7%	-272.4%	-334.0%	-414.5%	-977.6%	-488.9%	-510.9%	-470.9%	-466.8%	-1023.2%	-624.7%	-584.0%	-532.8%
Corporate costs, unallocated (% of total revenues)	-3.0%	-3.4%	-3.5%	-4.4%	-5.2%	-4.2%	-4.9%	-4.8%	-4.6%	-5.2%	-4.9%	-4.8%	-5.0%
Total Income from Operations	**32.1%**	**33.9%**	**32.4%**	**30.5%**	**31.6%**	**32.0%**	**36.1%**	**34.0%**	**34.3%**	**32.4%**	**34.1%**	**34.5%**	**35.1%**
SEGMENT ANALYSIS													
GOOGLE SERVICES													
Revenue	304,930	77,264	82,543	87,052	95,862	342,721	89,637	94,540	97,849	106,571	388,596	427,414	471,211
TAC	54,900	13,748	14,705	14,876	16,597	59,926	15,228	16,179	16,289	17,726	65,422	71,108	77,641
Net Revenue	250,030	63,516	67,838	72,176	79,265	282,795	74,409	78,361	81,560	88,844	323,174	356,306	393,570
GAAP Costs & Opex	128,767	30,834	34,775	38,649	39,133	143,391	33,820	38,817	38,996	43,019	154,651	167,389	183,410
GAAP Operating Income	121,263	32,682	33,063	33,527	40,132	139,404	40,589	39,544	42,564	45,825	168,523	188,917	210,160
OI&E	3,493	1,465	1,459	2,199	881	6,004	801	(1,048)	537	594	884	(1,807)	(7,880)
Income before taxes	124,756	34,147	34,522	35,726	41,013	145,408	41,390	38,496	43,101	46,419	169,407	187,110	202,280
Income Tax	19,697	7,249	5,737	9,008	4,662	26,656	14,834	26,560	7,498	7,853	56,745	35,570	43,747
GAAP Net Income	105,059	26,898	28,785	26,718	36,351	118,752	26,556	11,936	35,603	38,567	112,662	151,540	158,533
GAAP EPS	$8.44	$2.19	$2.36	$2.19	$2.97	$9.71	$2.17	$0.97	$2.86	$3.08	$9.10	$11.95	$12.38
D&A	10,490					13,709					18,264	25,217	36,754
SBC	16,161					17,205					19,430	21,285	23,231
Adj. EBITDA	147,914					170,317					206,216	235,420	270,145
Costs & Expenses As % of Revenue													
TAC	18.0%	17.8%	17.8%	17.1%	17.3%	17.5%	17.0%	17.1%	16.6%	16.6%	16.8%	16.6%	16.5%
GAAP Costs & Opex	42.2%	39.9%	42.1%	44.4%	40.8%	41.8%	37.7%	41.1%	39.9%	40.4%	39.8%	39.2%	38.9%
D&A	3.4%					4.0%					4.7%	5.9%	7.8%
SBC	5.3%					5.0%					5.0%	5.0%	4.9%
Margins			excl. EC fine	**42.5%**		**41.7%**							
GAAP Operating Income	**39.8%**	**42.3%**	**40.1%**	**38.5%**	**41.9%**	**40.7%**	**45.3%**	**41.8%**	**43.5%**	**43.0%**	**43.4%**	**44.2%**	**44.6%**
GOOGLE CLOUD													
Revenue	43,229	12,260	13,624	15,157	17,664	58,705	20,028	24,768	28,495	33,562	106,853	181,650	281,557
GAAP Costs & Opex	37,117	10,083	10,798	11,563	12,351	44,795	13,430	15,954	19,662	21,983	71,029	118,981	177,381
GAAP Operating Income	6,112	2,177	2,826	3,594	5,313	13,910	6,598	8,814	8,833	11,579	35,824	62,669	104,176
OI&E	0	0	0	0	0	0	0	0	0	0	0	0	0
Income before taxes	6,112	2,177	2,826	3,594	5,313	13,910	6,598	8,814	8,833	11,579	35,824	62,669	104,176
Income Tax	0	0	0	0	0	0	0	0	0	0	0	0	0
GAAP Net Income	6,112	2,177	2,826	3,594	5,313	13,910	6,598	8,814	8,833	11,579	35,824	62,669	104,176
GAAP EPS	$0.49	$0.18	$0.23	$0.29	$0.43	$1.14	$0.54	$0.72	$0.71	$0.92	$2.89	$4.94	$8.14
D&A	4,409					6,927					14,532	34,132	64,082
SBC	5,879					6,927					11,273	14,169	17,569
Adj. EBITDA	16,401					27,764					61,629	110,970	185,828
Costs & Expenses As % of Revenue													
GAAP Costs & Opex	85.9%	82.2%	79.3%	76.3%	69.9%	76.3%	67.1%	64.4%	69.0%	65.5%	66.5%	65.5%	63.0%
D&A	10%					12%					14%	19%	23%
SBC	14%					12%					11%	8%	6%
Margins													
GAAP Operating Income	**14.1%**	**17.8%**	**20.7%**	**23.7%**	**30.1%**	**23.7%**	**32.9%**	**35.6%**	**31.0%**	**34.5%**	**33.5%**	**34.5%**	**37.0%**
OTHER BETS													
Revenue	1,648	450	373	344	370	1,537	411	382	423	432	1,648	1,869	2,135
GAAP Costs & Opex	6,092	1,676	1,619	1,770	3,987	9,052	2,511	2,181	2,397	4,856	11,945	12,785	13,510
Non-GAAP Costs & Opex	4,935					7,731					10,480	11,121	11,567
GAAP Operating Income	**(4,444)**	**(1,226)**	**(1,246)**	**(1,426)**	**(3,617)**	**(7,515)**	**(2,100)**	**(1,799)**	**(1,974)**	**(4,424)**	**(10,297)**	**(10,916)**	**(11,375)**
OI&E	3,932	9,718	1,203	10,560	2,302	23,783	36,915	99,031	0	0	135,946	0	0
Income before taxes	(512)	8,492	(43)	9,134	(1,315)	16,268	34,815	97,232	(1,974)	(4,424)	125,649	(10,916)	(11,375)
Income Tax	0	0	0	0	0	0	0	0	0	0	0	0	0
GAAP Net Income	(512)	8,492	(43)	9,134	(1,315)	16,268	34,815	97,232	(1,974)	(4,424)	125,649	(10,916)	(11,375)
GAAP EPS	($0.04)	$0.69	($0.00)	$0.75	($0.11)	$1.33	$2.84	$7.90	($0.16)	($0.35)	$10.15	($0.86)	($0.89)
D&A	412					500					563	639	752
SBC	745					821					902	1,026	1,190
Adj. EBITDA	(3,287)					(6,194)					(8,832)	(9,251)	(9,433)
Costs & Expenses As % of Revenue													
GAAP Costs & Opex	370%	372%	434%	515%	1078%	589%	611%	571%	567%	1123%	725%	684%	633%
Margins													
GAAP Operating Income	-269.7%	-272.4%	-334.0%	-414.5%	-977.6%	-488.9%	-510.9%	-470.9%	-466.8%	-1023.2%	-624.7%	-584.0%	-532.8%
RECONCILING ITEMS													
Hedging gains (losses)	211	260	(112)	(207)	(68)	(127)	(180)	106	103	68	97	612	0
Corporate costs, unallocated	**8,965**	**3,287**	**3,260**	**3,653**	**5,826**	**16,026**	**5,211**	**5,895**	**5,958**	**7,450**	**24,514**	**30,241**	**37,745**
One-time items	1,787	0	0	607	0	607	0	0	0	0	0	0	0
GAAP Operating Income	(10,541)	(3,027)	(3,372)	(4,467)	(5,894)	(16,760)	(5,391)	(5,789)	(5,855)	(7,382)	(24,417)	(29,629)	(37,745)
OI&E	0	0	0	0	0	0	0	0	0	0	0	0	0
Income before taxes	(10,541)	(3,027)	(3,372)	(4,467)	(5,894)	(16,760)	(5,391)	(5,789)	(5,855)	(7,382)	(24,417)	(29,629)	(37,745)
Income Tax	0	0	0	0	0	0	0	0	0	0	0	0	0
GAAP Net Income	(10,541)	(3,027)	(3,372)	(4,467)	(5,894)	(16,760)	(5,391)	(5,789)	(5,855)	(7,382)	(24,417)	(29,629)	(37,745)
GAAP EPS	($0.85)	($0.25)	($0.28)	($0.37)	($0.48)	($1.37)	($0.44)	($0.47)	($0.47)	($0.59)	($1.97)	($2.34)	($2.95)
As % of Alphabet Total Revenue ex-hedge													
Corporate costs, unallocated	2.56%	3.65%	3.38%	3.56%	5.12%	3.98%	4.73%	4.93%	4.70%	5.30%	4.93%	4.95%	5.00%

Source: J.P. Morgan estimates, Company data.

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Investment Thesis, Valuation and Risks

Alphabet *(Overweight; Price Target: $420.00)*

Investment Thesis
We believe Alphabet's fundamentals are solid and the company will remain both a driver of and primary beneficiary of an increasingly digital economy & advances in Generative AI. Google remains focused on innovation, and we continue to believe there is healthy runway across Search & YT ads as AI drives higher ROI. Non-Ad businesses, incl. Cloud & YouTube subscription services, have significant headroom & momentum, and companies within Other Bets, incl. Waymo, provide option value. We remain confident Google's AI full stack advantage & in the company's ability to innovate around Generative AI, control costs, & generate solid top-line growth.

Valuation
We are establishing a December 2027 price target of $420 (vs. our prior $460 Dec '26 PT) based on 25x our '28E GAAP EPS of $16.66, which ex-cash equates to ~24x our '28E GAAP EPS ex-Other Bets of $17.54. We believe Alphabet shares should trade at a premium to the S&P 500 as Alphabet is one of the few companies in the S&P 500 with DD % revenue and EPS growth off of a very large base and a strong 34%+ GAAP Operating Income margin.

Risks to Rating and Price Target
Downside risks include: 1) Competition ramping across AI, Ads, Cloud, and for engineering/tech talent; **2)** potential for a return to heavy investment spending and margin compression; **3)** regulatory scrutiny resulting in meaningful change to operations or limiting innovation; and **4)** growth slowing more than anticipated with the next major revenue drivers, including Cloud, Hardware, and Waymo, not materializing as expected.

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Investment Thesis, Valuation and Risks

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We believe Alphabet's fundamentals are solid and the company will remain both a driver of and primary beneficiary of an increasingly digital economy & advances in Generative AI. Google remains focused on innovation, and we continue to believe there is a healthy runway across Search and YouTube ads as AI drives higher ROI & TV dollars shift online. Non-Ad businesses, incl. Cloud & Subscriptions, have significant headroom, and companies within Other Bets, notably Waymo, provide option value. We remain confident in the company's ability to innovate around Generative AI, control costs, & generate solid top-line growth.

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Alphabet: Summary of Financials

Income Statement - Annual	FY25A	FY26E	FY27E	FY28E
Revenue	**402,836**	**497,194**	**611,545**	**754,903**
COGS	(162,535)	(194,901)	(245,669)	(311,296)
Gross profit	**240,301**	**302,293**	**365,876**	**443,606**
SG&A	(46,718)	(57,397)	(65,663)	(73,415)
Adj. EBITDA	**178,585**	**234,597**	**307,509**	**408,795**
D&A	(21,136)	(33,359)	(59,988)	(101,589)
Adj. EBIT	**157,449**	**201,238**	**247,520**	**307,206**
Net Interest	-	-	-	-
Adj. PBT	**187,236**	**338,068**	**245,713**	**299,326**
Tax	(26,656)	(56,745)	(35,570)	(43,747)
Minority Interest	-	-	-	-
Adj. Net Income	**134,971**	**170,154**	**211,246**	**258,928**
Reported EPS	10.81	20.16	13.67	16.66
Adj. EPS	**11.04**	**13.75**	**16.67**	**20.22**
DPS	**0.82**	**0.87**	**0.88**	**0.88**
Payout ratio	7.6%	4.3%	6.4%	5.3%
Shares outstanding	12,230	12,376	12,676	12,803

Income Statement - Quarterly	1Q26A	2Q26A	3Q26E	4Q26E
Revenue	**109,896A**	**119,796A**	**126,870**	**140,632**
COGS	(41,271)A	(45,943)A	(50,016)	(57,671)
Gross profit	**68,625A**	**73,853A**	**76,854**	**82,961**
SG&A	(11,897)A	(14,864)A	(14,044)	(16,592)
Adj. EBITDA	**52,929A**	**55,831A**	**60,820**	**65,017**
D&A	(6,482)A	(7,104)A	(8,957)	(10,816)
Adj. EBIT	**46,447A**	**48,727A**	**51,862**	**54,201**
Net Interest	-	-	-	-
Adj. PBT	**84,163A**	**146,710A**	**52,400**	**54,795**
Tax	(14,834)A	(26,560)A	(7,498)	(7,853)
Minority Interest	-	-	-	-
Adj. Net Income	**38,663A**	**40,470A**	**44,518**	**46,503**
Reported EPS	5.11A	9.11A	2.94	3.06
Adj. EPS	**3.16A**	**3.29A**	**3.58**	**3.71**
DPS	**0.21A**	**0.22A**	**0.22**	**0.22**
Payout ratio	4.1%A	2.4%A	7.5%	7.2%
Shares outstanding	12,238A	12,309A	12,440	12,518

Balance Sheet & Cash Flow Statement	FY25A	FY26E	FY27E	FY28E
Cash and cash equivalents	30,708	52,591	80,356	79,104
Accounts receivable	62,886	78,045	97,687	122,419
Inventories	2,439	13,520	21,617	27,090
Other current assets	110,005	204,096	108,508	34,064
Current assets	**206,038**	**348,251**	**308,169**	**262,677**
PP&E	246,597	425,557	743,874	1,098,082
LT investments	-	-	-	-
Other non current assets	142,646	236,449	241,209	247,202
Total assets	**595,281**	**1,010,257**	**1,293,251**	**1,607,961**
Short term borrowings	0	0	0	0
Payables	12,200	15,422	19,303	24,190
Other short term liabilities	90,545	107,756	134,875	169,022
Current liabilities	**102,745**	**123,177**	**154,178**	**193,211**
Long-term debt	46,547	96,165	155,165	212,523
Other long term liabilities	30,724	57,227	56,435	55,643
Total liabilities	**180,016**	**276,569**	**365,778**	**461,377**
Shareholders' equity	415,265	733,688	927,474	1,146,584
Minority interests	-	-	-	-
Total liabilities & equity	**595,281**	**1,010,257**	**1,293,251**	**1,607,961**
BVPS	**33.95**	**59.28**	**73.17**	**89.56**
y/y Growth	*30.0%*	*74.6%*	*23.4%*	*22.4%*
Net debt/(cash)	15,839	43,574	74,809	133,419
Cash flow from operating activities	**164,713**	**206,293**	**263,428**	**353,656**
o/w Depreciation & amortization	21,136	33,359	59,988	101,589
o/w Changes in working capital	618	(3,285)	(6,704)	(3,512)
Cash flow from investing activities	**(120,291)**	**(269,940)**	**(278,306)**	**(375,797)**
o/w Capital expenditure	(91,447)	(204,716)	(378,306)	(455,797)
as % of sales	*22.7%*	*41.2%*	*61.9%*	*60.4%*
Cash flow from financing activities	**(37,388)**	**85,683**	**42,643**	**20,889**
o/w Dividends paid	-	(10,722)	(11,155)	(11,266)
o/w Net debt issued/(repaid)	32,138	(7,253)	59,000	57,358
Net change in cash	**7,242**	**21,883**	**27,765**	**(1,252)**
Adj. Free cash flow to firm	**73,266**	**1,578**	**(114,878)**	**(102,141)**
y/y Growth	*0.7%*	*(97.8%)*	*(7381.9%)*	*(11.1%)*

Ratio Analysis	FY25A	FY26E	FY27E	FY28E
Gross margin	59.7%	60.8%	59.8%	58.8%
EBITDA margin	44.3%	47.2%	50.3%	54.2%
EBIT margin	39.1%	40.5%	40.5%	40.7%
Net profit margin	33.5%	34.2%	34.5%	34.3%
ROE	36.5%	29.6%	25.4%	25.0%
ROA	25.8%	21.2%	18.3%	17.8%
ROCE	33.9%	25.9%	22.1%	21.5%
SG&A/Sales	11.6%	11.5%	10.7%	9.7%
Net debt/equity	0.0	0.1	0.1	0.1
P/E (x)	31.0	24.9	20.5	16.9
P/BV (x)	10.1	5.8	4.7	3.8
EV/EBITDA (x)	23.7	18.1	13.9	10.6
Dividend Yield	0.2%	0.3%	0.3%	0.3%
Sales/Assets (x)	0.8	0.6	0.5	0.5
Interest cover (x)	-	-	-	-
Operating leverage	109.2%	118.7%	100.0%	102.9%
Revenue y/y Growth	15.1%	23.4%	23.0%	23.4%
EBITDA y/y Growth	18.7%	31.4%	31.1%	32.9%
Tax rate	14.2%	16.8%	14.5%	14.6%
Adj. Net Income y/y Growth	15.6%	26.1%	24.2%	22.6%
EPS y/y Growth	17.7%	24.6%	21.2%	21.4%
DPS y/y Growth	38.9%	5.4%	1.6%	0.0%

Source: Company reports and J.P. Morgan estimates.
Note: $ in millions (except per-share data).Fiscal year ends Dec. o/w - out of which

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Alphabet Inc.: Summary of Financials

Income Statement - Annual	FY25A	FY26E	FY27E	FY28E
Revenue	**402,836**	**497,194**	**611,545**	**754,903**
COGS	(162,535)	(194,901)	(245,669)	(311,296)
Gross profit	**240,301**	**302,293**	**365,876**	**443,606**
SG&A	(46,718)	(57,397)	(65,663)	(73,415)
Adj. EBITDA	**178,585**	**234,597**	**307,509**	**408,795**
D&A	(21,136)	(33,359)	(59,988)	(101,589)
Adj. EBIT	**157,449**	**201,238**	**247,520**	**307,206**
Net Interest	-	-	-	-
Adj. PBT	**187,236**	**338,068**	**245,713**	**299,326**
Tax	(26,656)	(56,745)	(35,570)	(43,747)
Minority Interest	-	-	-	-
Adj. Net Income	**134,971**	**170,154**	**211,246**	**258,928**
Reported EPS	10.81	20.16	13.67	16.66
Adj. EPS	**11.04**	**13.75**	**16.67**	**20.22**
DPS	**0.82**	**0.87**	**0.88**	**0.88**
Payout ratio	7.6%	4.3%	6.4%	5.3%
Shares outstanding	12,230	12,376	12,676	12,803

Income Statement - Quarterly	1Q26A	2Q26A	3Q26E	4Q26E
Revenue	**109,896A**	**119,796A**	**126,870**	**140,632**
COGS	(41,271)A	(45,943)A	(50,016)	(57,671)
Gross profit	**68,625A**	**73,853A**	**76,854**	**82,961**
SG&A	(11,897)A	(14,864)A	(14,044)	(16,592)
Adj. EBITDA	**52,929A**	**55,831A**	**60,820**	**65,017**
D&A	(6,482)A	(7,104)A	(8,957)	(10,816)
Adj. EBIT	**46,447A**	**48,727A**	**51,862**	**54,201**
Net Interest	-	-	-	-
Adj. PBT	**84,163A**	**146,710A**	**52,400**	**54,795**
Tax	(14,834)A	(26,560)A	(7,498)	(7,853)
Minority Interest	-	-	-	-
Adj. Net Income	**38,663A**	**40,470A**	**44,518**	**46,503**
Reported EPS	5.11A	9.11A	2.94	3.06
Adj. EPS	**3.16A**	**3.29A**	**3.58**	**3.71**
DPS	**0.21A**	**0.22A**	**0.22**	**0.22**
Payout ratio	4.1%A	2.4%A	7.5%	7.2%
Shares outstanding	12,238A	12,309A	12,440	12,518

Balance Sheet & Cash Flow Statement	FY25A	FY26E	FY27E	FY28E
Cash and cash equivalents	30,708	52,591	80,356	79,104
Accounts receivable	62,886	78,045	97,687	122,419
Inventories	2,439	13,520	21,617	27,090
Other current assets	110,005	204,096	108,508	34,064
Current assets	**206,038**	**348,251**	**308,169**	**262,677**
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Source: Company reports and J.P. Morgan estimates.
Note: $ in millions (except per-share data).Fiscal year ends Dec. o/w - out of which

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Alphabet (GOOG, GOOG US) Price Chart



Source: Bloomberg Finance L.P. and J.P. Morgan; price data adjusted for stock splits and dividends.
Initiated coverage Sep 28, 2004. All share prices are as of market close on the previous business day.

Date	Rating	Price ($)	Price Target ($)
26-Jul-23	OW	122.79	150
13-Dec-23	OW	133.64	160
31-Jan-24	OW	153.05	165
26-Apr-24	OW	157.95	200
24-Jul-24	OW	183.60	208
30-Oct-24	OW	171.14	212
18-Dec-24	OW	197.12	232
05-Feb-25	OW	207.71	220
08-Apr-25	OW	149.24	180
25-Apr-25	OW	161.47	195
11-Jul-25	OW	178.70	200
24-Jul-25	OW	191.51	232
03-Sep-25	OW	211.99	260
27-Oct-25	OW	260.51	300
30-Oct-25	OW	275.17	340
12-Dec-25	OW	313.70	385
05-Feb-26	OW	333.34	395
30-Apr-26	OW	347.31	460

Alphabet Inc. (GOOGL, GOOGL US) Price Chart



Source: Bloomberg Finance L.P. and J.P. Morgan; price data adjusted for stock splits and dividends.
Initiated coverage Jul 17, 2015. All share prices are as of market close on the previous business day.

Date	Rating	Price ($)	Price Target ($)
26-Jul-23	OW	122.21	150
13-Dec-23	OW	132.52	160
31-Jan-24	OW	151.46	165
26-Apr-24	OW	156.00	200
24-Jul-24	OW	181.79	208
30-Oct-24	OW	169.68	212
18-Dec-24	OW	195.42	232
05-Feb-25	OW	206.38	220
08-Apr-25	OW	146.75	180
25-Apr-25	OW	159.28	195
11-Jul-25	OW	177.62	200
24-Jul-25	OW	190.23	232
03-Sep-25	OW	211.35	260
27-Oct-25	OW	259.92	300
30-Oct-25	OW	274.57	340
12-Dec-25	OW	312.43	385
05-Feb-26	OW	333.04	395
30-Apr-26	OW	349.94	460

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	Overweight (buy)	Neutral (hold)	Underweight (sell)
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IB clients**	83%	80%	73%
JPMS Equity Research Coverage*	51%	37%	12%
IB clients**	95%	92%	87%

***Please note that the percentages may not add to 100% because of rounding.**
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